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LINE 10

26-CIV-02490

MICHAEL SCOTT SHANNAHAN VS. JOHN ALEXANDER HALLEY

MICHAEL SCOTT SHANNAHAN
JOHN ALEXANDER HALLEY

JAMES L ARRASMITH
WALTER C COOK

DEFENDANT'S DEMURRER TO SECOND CAUSE OF ACTION OF PLAINTIFF'S COMPLAINT

TENTATIVE RULING:

Defendant John Alexander Valley's ("Defendant") Demurrer to Second Cause of Action of Plaintiff Michael Scott Shannahan's ("Plaintiff") Complaint is **OVERRULED**.

This action arises from alleged legal malpractice. In October 2023, Plaintiff retained Defendant pursuant to a written fee agreement to represent him in an appeal arising from a DUI (driving under the influence) case in which Plaintiff was convicted ("San Mateo action"). The Complaint alleges that Defendant incorrectly advised Plaintiff that a stay of the suspension of his driver's license had been issued, which resulted in him being cited and another action filed against him in Alameda ("Alameda action"). Plaintiff also alleges Defendant filed a motion to set aside a default judgment against Plaintiff in the Alameda action using a factual theory that was false.

"Any person interested under a written instrument, excluding a will or a trust, or under a contract, or who desires a declaration of his or her rights or duties with respect to another...may, in cases of actual controversy relating to the legal rights and duties of the respective parties, bring an original action or cross-complaint in the superior court for a declaration of his or her rights and duties in the premises, including a determination of any question of construction or validity arising under the instrument or contract." (Code Civ. Proc., § 1060.)

The Second Cause of Action for Declaratory Relief alleges that an actual present controversy exists between Plaintiff and Defendant concerning their rights and obligations under the October 2023 fee agreement and Defendant's billing practices. (Complaint, ¶ 54.) Defendant used an hourly fee arrangement and accepted substantial funds from Plaintiff under a written retainer, and failed to provide bills clearly stating the amount, rate, basis for calculation or other method of determining attorney's fees and costs. (*Id.*, ¶ 56.) Plaintiff requested billing information and did not receive it as required by Business and Professions Code section 6148(b). (*Id.*, ¶ 57.) Plaintiff contends that Defendant's non-compliance with section 6148 renders the fee agreement voidable at Plaintiff's option, and Plaintiff elects to treat the agreement as voidable to the extent of Defendant's non-compliance. (*Id.*, ¶ 58.) As a result, Defendant may retain only reasonable fee and reimbursable costs that Defendant can substantiate. (*Id.*, ¶ 59.) Defendant disputes, or is likely to dispute, Plaintiff's right to treat the agreement as voidable, the right to adequate accountings and the right to recover funds retained by Defendant in excess of reasonable fee and

reimbursable costs. (*Id.*, ¶ 60.) Plaintiff seeks a judicial declaration of the parties' rights and duties including that Plaintiff has validly elected to treat the fee agreement as voidable and that Defendant may retain only such reasonable fee and reimbursable costs as Defendant proves. (*Id.*, ¶ 61.)

Business and Professions Code section 6148 states in relevant part:

...

(b) All bills rendered by an attorney to a client shall clearly state the basis thereof. Bills for the fee portion of the bill shall include the amount, rate, basis for calculation, or other method of determination of the attorney's fees and costs. Bills for the cost and expense portion of the bill shall clearly identify the costs and expenses incurred and the amount of the costs and expenses. Upon request by the client, the attorney shall provide a bill to the client no later than 10 days following the request unless the attorney has provided a bill to the client within 31 days prior to the request, in which case the attorney may provide a bill to the client no later than 31 days following the date the most recent bill was provided. The client is entitled to make similar requests at intervals of no less than 30 days following the initial request. In providing responses to client requests for billing information, the attorney may use billing data that is currently effective on the date of the request, or, if any fees or costs to that date cannot be accurately determined, they shall be described and estimated.

(c) Failure to comply with any provision of this section renders the agreement voidable at the option of the client, and the attorney shall, upon the agreement being voided, be entitled to collect a reasonable fee.

...

(Bus. & Prof. Code, § 6148, subds. (b)-(c).)

The fundamental basis of declaratory relief is the existence of an actual, present controversy over a proper subject. (*City of Cotati v. Cashman* (2002) 29 Cal.4th 69, 79.) The court may sustain a demurrer on the ground that the complaint fails to allege an actual or present controversy, or that it is not "justiciable." (*DeLaura v. Beckett* (2006) 137 Cal.App.4th 542, 545.)

Defendant claims that no actual controversy exists regarding the voidability of the fee agreement under section 6148 because Defendant's counsel and Defendant never disputed and concede Plaintiff's right to elect voidability under section 6148. (Cook Decl., ¶ 9.) However, a demurrer may be used only to challenge defects that appear on the face of the pleading under attack, or from matters outside the pleading that are judicially noticeable. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) No extrinsic evidence may be considered on a demurrer. (*Afuso v. United States Fid. & Guar. Co.* (1985) 169 Cal.App.3d 859, 862, disapproved on other grounds by *Moradi-Shalal v. Fireman's Fund Ins. Companies* (1988) 46 Cal.3d 287, 250.) The court

therefore does not consider this extrinsic evidence regarding Defendant's claimed concession for purposes of this Demurrer. Even if the court could consider extrinsic evidence, the court notes that no declaration has been provided by Defendant himself as to the claimed concession.

Furthermore, Plaintiff correctly points out that Business & Professions Code section 6148, subdivision (c), provides for the attorney to collect a reasonable fee. As such, this cause of action also seeks a declaration as to what is a reasonable fee, if any. Even if the court could consider the declaration in ruling on the Demurrer (which it does not), Defendant does not appear to concede that he is not entitled to any payment of fees.

The court finds that Plaintiff alleges facts sufficient to support this declaratory relief claim.

Defendant is to file and serve an answer within ten days of service of written notice of entry of order by Plaintiff.

If the tentative ruling is uncontested, it shall become the order of the Court. Thereafter, counsel for Plaintiff shall prepare a written order consistent with the Court's ruling for the Court's signature, pursuant to California Rules of Court, rule 3.1312, and provide written notice of the ruling to all parties who have appeared in the action, as required by law and the California Rules of Court.

2:00 PM

LINE 11

26-CIV-02953

JOHN ROE VS. GENENTECH, INC

JOHN ROE
GENENTECH, INCJAMES A. DAL BON

PLAINTIFF'S MOTION FOR LEAVE TO PROCEED UNDER PSEUDONYM

TENTATIVE RULING:

Plaintiff's request for leave to proceed under a pseudonym is DENIED. Plaintiff's request to file medical or other information under seal is DENIED without prejudice to bring a motion to seal when those documents are filed in this court for a motion or trial (discovery motions have different rules about confidential information).

In this case, plaintiff sues defendant alleging in substance that it improperly rescinded an employment offer because of his criminal conviction. He has presented no evidence that his conviction has been expunged and sealed. It appears undisputed that defendants discovered his criminal convictions when defendant performed a routine background check, which implies that the conviction is a matter of public record.

Public access to court proceedings is paramount. (Code Civ. Proc., § 124; *NBC Subsidiary (KNBC-TV), Inc. v. Superior Court* (1999) 20 Cal.4th 1178, 1197 (*NBC Subsidiary*).) “[O]pen trials serve to demonstrate that justice is meted out fairly, thereby promoting public confidence in such governmental proceedings [citation]; ‘[m]ore importantly,’ open trials provide a means, ‘akin in purpose to the other checks and balances that infuse our system of government,’ by which citizens scrutinize and ‘check’ the use and possible abuse of judicial power [citation]; and finally, ‘with some limitations’ [citation], open trials serve to enhance the truth-finding function of the proceeding [citation].” (*NBC Subsidiary*, at pp. 1201–1202, quoting Justice Brennan's concurring opinion in *Richmond Newspapers, Inc. v. Virginia* (1980) 448 U.S. 555 [public access to criminal trial]; see *NBC Subsidiary*, at p. 1211 [concluding same principles apply to civil trials].) “ ‘Popular attendance at trials, in sum, substantially furthers the particular public purposes of that critical judicial proceeding. In that sense, public access is an indispensable element of the trial process itself....’ [Citation.]” (*NBC Subsidiary*, at p. 1202.) Court records are presumed to be open. (Cal. Rules of Court, rule 2.550(c).)

Public access, however, is not absolute. (*NBC Subsidiary, supra*, 20 Cal.4th at p. 1217.) Certain types of information are confidential and the public is not entitled to access that information. (See e.g. *Overstock.com, Inc. v. Goldman Sachs Grp., Inc.* (2014) 231 Cal.App.4th 471, 503.) To balance the competing policies, in order to prohibit the public from seeing certain documents in the court filed, the Court must expressly find:
